Table 1.5 Throwbacks (T) and Pullbacks (P) versus None (N)

	Bull Market, Up Breakout	**Bear Market, Up Breakout**
Winner	Throwbacks (97%)	Throwbacks (89%)
Performance	40% T, 48% N	25% T, 33% N
Occurrence	64%	65%
	Bull Market, Down Breakout	**Bear Market, Down Breakout**
Winner	Pullbacks (91%)	Pullbacks (100%)
Performance	–14% P, –17% N	–20% P, –26% N
Occurrence	64%	63%

Occurrence. The Occurrence line in the table shows how often a throwback or pullback occurred, on average. Throwbacks and pullbacks happen almost two out of three times (63% to 65%).

Table 1.6: Rising or falling volume. The table shows how patterns behave if volume is rising or falling from the start of the pattern to the end, found using linear regression.

Winner. For upward breakouts, performance improves just over 60% of the time if volume is rising. Downward breakouts are mixed with bull markets in patterns showing falling volume doing best but bear markets show a tie.

Performance. The performance numbers are close, though, especially for downward breakouts. For example, patterns with rising volume (R) saw price climb 44% to the ultimate high (bull market, up breakout). Patterns with falling volume (F) showed gains averaging 42%. The volume trend is not a good predictor of future performance.

I think technical analysts put too much emphasis on volume. (Consider that for every share sold, one is bought. If institutions are selling massive amounts of shares, then other institutions are buying those shares.)

Table 1.7: Heavy versus light breakout day volume. I compared breakout day volume with the prior month.